II

My opening statement, which made headlines in the Indian papers the next day, had the desired effect – a public, desperate for good news, started believing that the Reserve Bank could provide some. The rupee stabilized as investors regained confidence.

While many elements of the package were important, one was particularly memorable because I was initially against it. It had been presented to me when I was in the finance ministry in North Block. Essentially, bankers told us they would bring plenty of dollars in as three-year foreign currency non-resident (FCNR) deposits, which they would convert to rupees and invest in India. In return, they wanted a cheap rate at which they could convert rupees back into dollars three years hence. So long as the Reserve Bank could be trusted to provide the forward dollars, this was a great deal for the banks – they got rupee interest income and a guaranteed cheap price at which they could swap maturing rupees back into dollars.

I did not think much of this scheme when I first heard of it, dismissing it as yet another clever ploy by bankers to get a subsidy from a country in trouble. But it refused to go away, and my old colleagues at the finance ministry thought it worth a try as the crisis of confidence worsened.

I too became more favourable after thinking carefully about it. First, I weighed the balance of risks. If we did not move the rupee back to fundamental value, every one-rupee rise in the dollar-rupee rate would costs us Rs 40,000 crores more in import costs. Assuming the rupee was undervalued by Rs 3 for a couple of years, this would mean a loss of lakhs of crores to national income. In contrast, even if the scheme was wildly successful in attracting inflows, the payout would only be in the tens of thousands of crores. Of course, there might be cheaper ways of restoring confidence but it was not clear what they were. And time was of the essence.

Discussions with colleagues at the RBI had thrown up another rationale. The bankers who proposed the scheme were saying that if the money came in, the rupee would appreciate, and it would cost us less to offer the forward subsidy. This was self-serving and not quite right. What was right was that if we changed the narrative on India, and the rupee continued appreciating between the point when the money came in and the point we covered our liabilities to the bankers in forward markets, it would cost us significantly less. In fact, we might even make money on the deal. But what if the rupee plunged after the dollars flowed in? There were no certainties here.